

2. RULE OF THUMB METHOD

INCOME MULTIPLIER

Taking the case of Mr. Kishore and applying the rule of thumb method, under income multiplier approach, the last working year salary as shown in the table, after considering the annual increment for 20 years, is Rs. 15,91,979 rounded off to Rs. 16 lac. Multiplying this amount with the income multiplier 10, we get the amount required at retirement i.e. Rs.1 crore 60 lac (1,60,00,000).

$$\begin{aligned} &= 10 \times \text{Last working year salary} \\ &= 10 \times [\text{current salary} \times (1 + \% \text{ salary increase})^n] \\ &\quad \text{where, } n = \text{number of years to retirement} \\ &= 10 \times 16,00,000 \\ &= 1,60,00,000 \end{aligned}$$

EXPENSE MULTIPLIER

Under this approach, let us assume that Mr Kishore spends 60% of his income annually for meeting his expenses. So, his current year expense is Rs. 3,60,000 {60% of 6,00,000}. To find the last working year expense, we will multiply the CPI inflation rate @ 5% for 20 years, which will give us a sum of Rs. 9,55,187 rounded off to 10,00,000. Once we have the last working year expense, we will multiply it by the expense multiplier 24, i.e. Rs. 2 crore 40 lac (2,40,00,000). This is the amount required at the time.

$$\begin{aligned} &= 24 \times \text{Last working year expense} \\ &= 24 \times [\text{Current expense} \times (1 + \text{Inflation } \%)^n] \\ &\quad \text{where, } n = \text{number of years to retirement} \\ &= 24 \times [3,60,000 \times (1 + 5\%)^{20}] \\ &= 24 \times [10,00,000] \\ &= 2,40,00,000 \end{aligned}$$

Age	Salary
40	6,00,000
41	6,30,000
42	6,61,500
43	6,94,575
44	7,29,304
45	7,65,769
46	8,04,057
47	8,44,260
48	8,86,473
49	9,30,797
50	9,77,337
51	10,26,204
52	10,77,514
53	11,31,389
54	11,87,959
55	12,47,357
56	13,09,725
57	13,75,211
58	14,43,972
59	15,16,170
60	15,91,979
TOTAL	



This is from the previous calculation
You can also use compounding formula.
Compound Rs. 6 Lac at 5% for 20 years
 $\Rightarrow 6,00,000 \times (1+5\%)^{20} = 15,91,979$